

DE LA SALLE UNIVERSITY

Ramon V. del Rosario College of Business • Department of Accountancy
FDNACCT: Foundational Accounting • Term 1, AY 2026–2027

MODULE 1: INTRODUCTION TO ACCOUNTING

Comprehensive Study Guide & Official Test Bank (103 Questions)

Course Code:	FDNACCT (Foundational Accounting)	Target Term:	Term 1, AY 2026–2027
Department:	Department of Accountancy (DLSU Manila)	Module Scope:	Unit 1 Comprehensive
Curriculum Chair:	Dr. Joy S. Rabo, CPA	Module Items:	103 Practice Items
Course Coordinator:	Prof. Editha O. Trinidad, CPA	Format:	Theory Notes + Questions + Last-Page Keys

PEDAGOGICAL DESIGN & USAGE DIRECTIVE

This publication-grade study booklet contains the **complete reading text** for Unit 1, followed by all 103 official departmental questions, past exam items, and brand-new counter-concept reinforcement MCQs. In strict adherence to pedagogical best practices, **Master Answer Keys and Detailed Step-by-Step Pedagogical Rationales** are located exclusively at the final pages of this booklet.

Part I: Master Study Guide Reading Notes (Unit 1)

Complete theoretical foundations, statutory provisions, standard criteria, and computational formulas:

1.1 Historical Roots & Luca Pacioli (1494)

Accounting dates back millennia to ancient Mesopotamia, Egypt, and Babylon where clay tokens recorded grain and livestock. However, modern accounting was born in 1494 in Venice, Italy, when Franciscan friar and mathematician Fra Luca Bartolomeo de Pacioli published *Summa de Arithmetica, Geometria, Proportioni et Proportionalita*.

- **The Venetian Method:** Pacioli did not invent double-entry bookkeeping (it was practiced by Venetian merchants), but he was the first to systematically document and publish it.
- **Three Core Accounting Books:** Memoriale (Daybook/Memorandum), Giornale (General Journal in chronological order with debits and credits), and Quaderno (General Ledger with T-accounts).
- **Fundamental Venetian Rule:** 'All entries must be made double: no one can be a debtor without an equal creditor' (Debetur et Credetur).

1.2 Official Definitions, Nature, & Scope of Accounting

- **AICPA (1953) Classic Definition:** 'Accounting is the art of recording, classifying, and summarizing in a significant manner and in terms of money, transactions and events which are, in part at least, of a financial character, and interpreting the results thereof.'
- **PICPA / ASC Service Definition:** 'Accounting is a service activity. Its function is to provide quantitative information, primarily financial in nature, about economic entities, that is intended to be useful in making economic decisions.'
- **AAA Information System Definition:** 'The process of identifying, measuring, and communicating economic information to permit informed judgments and decisions by users of the information.'
- **Core Characteristics:** Accounting is an Art (requires professional creative design, ethical judgment), a Service Activity, and a Language of Business communicating economic status.

1.3 The Four Operational Phases of Accounting

1. **Recording (Journalizing):** Entering chronological financial transactions into journals based on source documents (official receipts, sales invoices, check vouchers).
2. **Classifying (Posting):** Sorting and grouping like transactions from journals into specific T-accounts in the General Ledger.
3. **Summarizing:** Aggregating account balances into the Trial Balance and preparing the formal General-Purpose Financial Statements (SFP, P&L, SCE, SCF, Notes).
4. **Interpreting:** Analyzing financial data through ratio analysis, cash flow trends, and performance variance to guide strategic managerial and investor decisions.

1.4 Bookkeeping vs. Accounting Comparative Matrix

- **Scope:** Bookkeeping is clerical and mechanical, restricted to recording and classifying. Accounting encompasses systems design, internal control, financial statement auditing, forensic investigation, and interpretation.
- **Decision-Making:** Bookkeeping cannot make financial decisions. Accounting interprets results to drive strategic resource allocation.

1.5 Specialized Branches & Areas of the Accounting Profession

- **Financial Accounting:** Prepares General-Purpose Financial Statements governed by PFRS/IFRS primarily for external users (investors, creditors, banks).
- **Management Accounting:** Produces confidential, forward-looking reports (budgets, cost-volume-profit analysis) for internal managers.
- **Cost Accounting:** Captures, classifies, and allocates manufacturing and operating costs to determine product unit cost and control operational waste.
- **Tax Accounting:** Ensures statutory compliance with BIR tax returns and engages in legal tax planning/avoidance.

- **Auditing:** External Audit (independent examination by CPAs to render an audit opinion on whether financial statements are fairly presented in accordance with PFRS) vs. Internal Audit (evaluates operational efficiency, risk management, and internal fraud controls).
- **Government Accounting:** Governed by the Commission on Audit (COA) under the Government Accounting Manual (GAM) for tracking public funds.
- **Forensic Accounting:** Investigates corporate fraud, embezzlement, money laundering, and provides expert legal testimony in court.

1.6 Legal Forms of Business Organization in the Philippines

Form	Legal Basis & Registration	Owner Liability	Life & Transferability	Tax Status
Sole Proprietorship	DTI Registration (Valid for 5 years)	Unlimited Personal Liability for all debts	Dissolves upon owner death; Cannot sell business as entity	Taxed at individual income tax rates (0-35%)
Partnership	Civil Code Art. 1767 SEC (if capital $\geq$ ₱3,000)	General: Unlimited Limited: Limited to capital	Dissolves upon partner death, withdrawal, or insolvency	General: 25% Corporate tax GPP: Tax-exempt entity
Corporation	Revised Corp Code (RA 11232) SEC Registration	Limited Liability (Up to subscribed share capital)	Perpetual Existence; Freely transferable shares	25% Regular Corporate Tax (CREATE Act 20% for MSME)
Cooperative	RA 9520 CDA Registration	Limited Liability (Up to share capital)	Perpetual Existence; Transferable within members	Tax-exempt on transactions with registered members

1.7 Professional Sectors & Philippine Accountancy Act of 2004 (RA 9298)

The four accredited sectors under RA 9298: (1) Public Practice (CPAs offering audit, tax, and consulting to the public), (2) Commerce & Industry (Chief Financial Officers, controllers, staff accountants), (3) Government (COA, BIR, Bureau of the Treasury), and (4) Education/Academe (Accounting professors, researchers). Regulated by the Professional Regulatory Board of Accountancy (BOA) under the Professional Regulation Commission (PRC).

1.8 Advanced Departmental Exam Flashpoints & Traps

CRITICAL FLASHPOINT 1: Non-Cash Property Contributions (Debt Assumed vs. NOT Assumed)

When a partner or sole proprietor contributes non-cash property (e.g. Land appraised at ₱1,000,000 with a mortgage of ₱300,000):

- **If Mortgage is Assumed by the Business:** Business Assets increase by ₱1,000,000; Business Liabilities increase by ₱300,000; Partner's Capital Credit = ₱700,000.
- **If Mortgage is NOT Assumed by the Business:** The mortgage remains the owner's personal debt. Business Assets increase by ₱1,000,000; Business Liabilities = ₱0; Partner's Capital Credit = ₱1,000,000!

CRITICAL FLASHPOINT 2: Industrial Partner Rights & Corporate Practice Prohibitions

- **Industrial Partner Rights (Civil Code Art. 1797):** An industrial partner contributes only labor/skills. They are legally **EXEMPT from sharing in partnership losses!** If there are profits, they receive a just and equitable share before general partners divide residual profit.
- **Corporate Practice Prohibitions:** Under Philippine Law, registered professionals whose licensing requires personal qualification (CPAs, Physicians, Lawyers) are **STRICTLY PROHIBITED from incorporating** as ordinary commercial corporations. They may only practice as Sole Proprietorships, General Partnerships, or General Professional Partnerships (GPP).
- **Normal Profit vs Economic Profit:** Accounting Profit = Revenue - Explicit Costs. Economic Profit = Accounting Profit - Implicit Opportunity Costs. When Economic Profit = 0, the entrepreneur is earning exactly 'Normal Profit'!

Part II: Master Test Bank Questionnaires (103 Items)

Complete test bank items covering Canvas unit quizzes, practical drills, past departmental examinations, and brand-new counter-concept reinforcement questions. Solve each question independently before consulting the solutions at the end of the booklet:

Item 1 [u1-q1] • Question 1 • Unit 1 Canvas Quiz (5 pts)

1.1 Brief History of Accounting: Match each historical accounting milestone to its corresponding civilization, period, or figure:

Item 2 [u1-q2] • Question 2 • Unit 1 Canvas Quiz (1 pt)

Bookkeeping and accounting are one and the same because the bookkeeping function includes the accounting process.

[A] True [B] False

Item 3 [u1-q3] • Question 3 • Unit 1 Canvas Quiz (1 pt)

The primary role of accounting is to determine the amount of taxes a business will be required to pay to taxing entities.

[A] True [B] False

Item 4 [u1-q4] • Question 4 • Unit 1 Canvas Quiz (1 pt)

Accounting is thought to be the 'language of business' because business information is communicated to stakeholders.

[A] True [B] False

Item 5 [u1-q5] • Question 5 • Unit 1 Canvas Quiz (1 pt)

Managerial accounting information is used by external and internal users equally.

[A] True [B] False

Item 6 [u1-q6] • Question 6 • Unit 1 Canvas Quiz (1 pt)

Financial accounting provides information to all of the business stakeholders, while the main focus for managerial accounting is to provide information to the management.

[A] True [B] False

Item 7 [u1-q7] • Question 7 • Unit 1 Canvas Quiz (1 pt)

Accounting Information System deals with helping clients to improve their information system and business performance.

[A] True [B] False

Item 8 [u1-q8] • Question 8 • Unit 1 Canvas Quiz (1 pt)

Which of the following best describes accounting?

- [A] An information system that provides reports to stakeholders.
- [B] Records economic data but does not communicate the data to users according to any specific rules.
- [C] Of no use by individuals outside of the business.
- [D] Used only for filling out tax returns and for financial statements for various type of governmental reporting requirements.

Item 9 [u1-q9] • Question 9 • Unit 1 Canvas Quiz (1 pt)

Which of the following is NOT a role of accounting in business?

- [A] To personally guarantee loans of the business.
- [B] To provide information for managers to use in operating the business.
- [C] To assess the various informational needs of stakeholders and design its accounting system to meet those needs.
- [D] To provide information to other stakeholders to use in assessing the economic performance and condition of the business to make decisions regarding the economic condition of the company.

Item 10 [u1-q10] • Question 10 • Unit 1 Canvas Quiz (1 pt)

Tax accountants would be responsible for providing the following information:

- [A] Compliance and planning of tax reports to government agencies.
- [B] Profit reports to owners and management.
- [C] Expansion of a product line report to management.
- [D] Consumer reports to customers.

Item 11 [u1-q11] • Question 11 • Unit 1 Canvas Quiz (1 pt)

Deals with the review of financial statements to assess their fairness and adherence to accounting principles:

- [A] Auditing
- [B] Cost Accounting
- [C] Forensic Accounting
- [D] Accounting Education

Item 12 [u1-q12] • Question 12 • Unit 1 Canvas Quiz (1 pt)

The rights or claims to the assets of a business may be subdivided into rights of creditors and rights of owners thus making creditors and investors the primary users of financial statements.

- [A] True
- [B] False

Item 13 [u1-q13] • Question 13 • Unit 1 Canvas Quiz (1 pt)

Primary users of accounting information are accountants.

- [A] True
- [B] False

Item 14 [u1-q14] • Question 14 • Unit 1 Canvas Quiz (1 pt)

An example of a business stakeholder is the government.

- [A] True
- [B] False

Item 15 [u1-q15] • Question 15 • Unit 1 Canvas Quiz (1 pt)

The following are examples of internal users of financial statements EXCEPT:

- [A] Financial analysts
- [B] Managers
- [C] Owners
- [D] Employees

Item 16 [u1-q16] • Question 16 • Unit 1 Canvas Quiz (1 pt)

A regulatory agency that oversees the financial information provided by publicly listed companies in the Philippines:

- [A] Securities and Exchange Commission (SEC)
- [B] Credit-rating agency
- [C] Trade association
- [D] Bureau of Internal Revenue (BIR)

Item 17 [u1-q17] • Question 17 • Unit 1 Canvas Quiz (1 pt)

Which of the following statements is TRUE?

- [A] A corporation is a business that is legally separate and distinct from its owners.
- [B] Proprietorships are owned by one owner and provide only services to their customers.
- [C] Senior executives cannot be criminally prosecuted for the wrong doings they commit on behalf of the companies where they work.
- [D] Manufacturing and merchandising companies are similar because they purchase products from other companies to sell to their customers.

Item 18 [u1-q18] • Question 18 • Unit 1 Canvas Quiz (1 pt)

Most businesses in the economy are organized as:

- [A] sole proprietorships.
- [B] partnerships.
- [C] corporations.
- [D] separate entities.

Item 19 [u1-q19] • Question 19 • Unit 1 Canvas Quiz (1 pt)

Which of the items below is NOT a recognized legal business organization form?

- [A] entrepreneurship
- [B] proprietorship
- [C] partnership
- [D] corporation

Item 20 [u1-q20] • Question 20 • Unit 1 Canvas Quiz (1 pt)

The following are components of the definition of a partnership, EXCEPT:

- [A] The partners may also legally agree that the richest partner be excluded from profit sharing as long as that partner agrees to such arrangement.
- [B] There should at least be two persons.
- [C] The partners can contribute money, property, or industry to a common fund.
- [D] Two or more persons may also form a partnership for the exercise of a profession.

Item 21 [u1-q21] • Question 21 • Unit 1 Canvas Quiz (1 pt)

Which of the following is FALSE about a manufacturing business?

- [A] Only large business can be considered a manufacturing business.
- [B] They change inputs to products which are sold to their customers.
- [C] Their primary goal is to maximize profits.
- [D] All are true.

Item 22 [hw1-q1] • Homework #1 • Drill 1 (1 pt)

Under the official AICPA definition, what are the four fundamental phases of accounting in proper chronological order?

- [A] Recording, Summarizing, Classifying, Interpreting
- [B] Recording, Classifying, Summarizing, Interpreting
- [C] Identifying, Measuring, Classifying, Recording
- [D] Journalizing, Posting, Adjusting, Closing

Item 23 [hw1-q2] • Homework #1 • Drill 2 (1 pt)

Under Chapter 1, Section 1.5 of the IFRS Conceptual Framework, which of the following are categorized as Primary Users of general-purpose financial reports?

- [A] Management, Employees, and Labor Unions
- [B] Bureau of Internal Revenue (BIR) and Local Government Units
- [C] Existing and potential investors, lenders, and other creditors
- [D] Financial analysts, credit rating agencies, and trade associations

Item 24 [hw1-q3] • Homework #1 • Drill 3 (1 pt)

According to Article 1767 of the Civil Code of the Philippines, what elements can partners contribute to a common fund?

- [A] Money or Property only
- [B] Industry (Labor/Skill) only
- [C] Money, Property, or Industry
- [D] Tangible corporate assets only

Item 25 [hw1-q4] • Homework #1 • Drill 4 (1 pt)

Which of the following is NOT permitted to organize as a standard commercial Corporation under Philippine law because practicing professionals cannot shield themselves from personal malpractice liability?

- [A] Manufacturing entities
- [B] Regulated professions (e.g., CPAs, Doctors, Lawyers, Architects)
- [C] Merchandising retailers
- [D] Information technology service enterprises

Item 26 [hw1-q5] • Homework #1 • Drill 5 (1 pt)

Which qualitative characteristic is violated when an entity includes vague footnotes, improper aggregation of dissimilar items, and buries significant contingent liabilities in boilerplates?

- [A] Relevance (Materiality obscured)
- [B] Verifiability
- [C] Timeliness
- [D] Monetary Unit

Item 27 [hw1-q6] • Homework #1 • Drill 6 (1 pt)

The qualitative characteristic that assures users that different knowledgeable and independent observers could reach consensus that a depiction is faithfully represented is:

- [A] Comparability
- [B] Verifiability
- [C] Understandability
- [D] Neutrality

Item 28 [hw1-q7] • Homework #1 • Drill 7 (1 pt)

A small office paper shredder costing ₱1,200 with an expected useful life of 5 years is charged immediately to supplies expense rather than capitalized and depreciated. This accounting treatment is justified by:

- [A] Historical Cost principle
- [B] Time Period assumption
- [C] Materiality and Cost-Benefit constraint
- [D] Going Concern assumption

Item 29 [hw1-q8] • Homework #1 • Drill 8 (1 pt)

Under the Accrual Basis of accounting:

- [A] Revenue is recognized only when cash is received into the bank account.
- [B] Expenses are recognized only when checks are released to suppliers.
- [C] Revenue is recognized when earned, and expenses are recognized when incurred, regardless of cash flow timing.
- [D] Revenue and expenses are recorded only at the end of the fiscal calendar year.

Item 30 [hw1-p1] • Homework #1 • Problem 1 (3 pts)

[Archon Creative Studio Problem] On Jan 1, 2026, Archon had Total Assets of ₱850,000 and Total Liabilities of ₱320,000. During the year, Total Assets increased by ₱190,000 and Total Liabilities decreased by ₱45,000. Compute the ending balance of Owner's Equity as of December 31, 2026:

Numerical computation required. Enter numerical value in ■.

Item 31 [hw1-p2] • Homework #1 • Problem 2 (3 pts)

[Veritas Logistics Problem] Established Oct 1, 2026 with cash capital ₱300,000. During October: Rendered services for cash ₱140,000; Billed clients on account ₱85,000; Paid fuel & driver wages ₱62,000; Incurred unpaid office rent ₱18,000; Owner drew cash ₱20,000. Compute Ending Capital as of October 31, 2026:

Numerical computation required. Enter numerical value in ■.

Item 32 [past-t1-tf1] • AY2526 T1 • True/False Q1 (1 pt)

A merchandising business earns income primarily by producing goods, while a manufacturing business earns income by buying and reselling finished products.

[A] True [B] False

Item 33 [past-t1-tf2] • AY2526 T1 • True/False Q2 (1 pt)

Accounting is also called the “language of business” because it communicates financial information about an organization's activities to help the users in making informed business decisions.

[A] True [B] False

Item 34 [past-t1-tf3] • AY2526 T1 • True/False Q3 (1 pt)

Creditors use accounting information to evaluate the ability of a company to repay its debts and interest.

[A] True [B] False

Item 35 [past-t1-tf6] • AY2526 T1 • True/False Q6 (1 pt)

Net profit occurs when expenses exceed revenues.

[A] True [B] False

Item 36 [past-t1-tf10] • AY2526 T1 • True/False Q10 (1 pt)

The practice of double-entry bookkeeping, which is the foundation of modern accounting, was first documented by Luca Pacioli.

[A] True [B] False

Item 37 [past-t1-mc1] • AY2526 T1 • Multiple Choice Q1 (1 pt)

Which of the following best describes the scope of accounting?

- [A] Accounting focuses solely on providing information to internal users such as management.
- [B] Accounting involves identifying, measuring, recording, classifying, summarizing and communicating financial information.
- [C] Accounting is concerned only with preparing tax returns for government purposes.
- [D] Accounting is limited to recording financial transactions only.

Item 38 [past-t1-mc2] • AY2526 T1 • Multiple Choice Q2 (1 pt)

Which of the following best explains why primary users rely on accounting information?

- [A] To assess the company's ability to generate cash flows and provide returns
- [B] To design the company's organizational structure
- [C] To evaluate the company's compliance with labor laws
- [D] To regulate the preparation of financial statements

Item 39 [past-t1-mc3] • AY2526 T1 • Multiple Choice Q3 (1 pt)

Which of the following statements best distinguishes a partnership from a corporation as a form of business organization in terms of ownership?

- [A] A partnership has ownership divided into shares of stock, while a corporation does not.
- [B] In a partnership, owners can be jointly liable for business debts, while in a corporation, the shareholders are liable up to their personal capacity.
- [C] A corporation has perpetual existence regardless of changes in ownership, while a partnership may dissolve when a partner withdraws.
- [D] Both partnerships and corporations can be created by one or more persons.

Item 40 [past-t2-tf1] • AY2526 T2 • True/False Q1 (1 pt)

Double-entry bookkeeping was popularized in the 15th century by Luca Pacioli, an Italian mathematician and Franciscan friar, often called the “Father of Accounting.” This system became the foundation of modern accounting practices.

[A] True [B] False

Item 41 [past-t2-tf2] • AY2526 T2 • True/False Q2 (1 pt)

Financial Accounting focuses on generating reports for internal users, particularly management, to aid in planning, controlling, and decision-making, unlike Management Accounting, which is aimed at external users.

[A] True [B] False

Item 42 [past-t2-tf3] • AY2526 T2 • True/False Q3 (1 pt)

Business organizations are commonly classified by their primary activity: service, merchandising, and manufacturing.

[A] True [B] False

Item 43 [past-t2-tf10] • AY2526 T2 • True/False Q10 (1 pt)

Owner's investments are increases in equity from a company's earnings activities.

[A] True [B] False

Item 44 [past-t2-mc1] • AY2526 T2 • Multiple Choice Q1 (1 pt)

Accounting is:

- [A] The art of recording, classifying, summarizing, and interpreting financial transactions.
- [B] A process limited to the mechanical recording of business transactions.
- [C] A method of managing business operations and formulating company policies.
- [D] The system used mainly for auditing and fraud detection.

Item 45 [past-t2-mc2] • AY2526 T2 • Multiple Choice Q2 (1 pt)

Lenders and other creditors primarily use financial information to:

- [A] Prepare internal budgets for management decisions
- [B] Ensure the business can repay loans and assess its ability to meet credit obligations
- [C] Calculate taxes owed to the government
- [D] Determine employee compensation and bonuses

Item 46 [past-t2-mc3] • AY2526 T2 • Multiple Choice Q3 (1 pt)

In terms of capital-raising ability, which form of business is generally most advantageous?

- [A] Sole proprietorship, because it can borrow unlimited funds from banks
- [B] Partnership, because it allows unlimited partners to contribute capital
- [C] Corporation, because it can issue stocks and attract a large number of investors
- [D] Corporation, because profits need not be shared with owners

Item 47 [past-t3-tf1] • AY2526 T3 • True/False Q1 (1 pt)

According to the American Institute of Certified Public Accountants (AICPA), accounting is defined as an art that involves recording, classifying, and summarizing financial transactions and events, and interpreting their results.

[A] True [B] False

Item 48 [past-t3-tf2] • AY2526 T3 • True/False Q2 (1 pt)

According to the Conceptual Framework, potential investors use accounting information to monitor business performance specifically to check the immediate return on their existing investments.

[A] True [B] False

Item 49 [past-t3-tf3] • AY2526 T3 • True/False Q3 (1 pt)

Only corporations are separate from the owners, managers, and employees operating the business.

[A] True [B] False

Item 50 [past-t3-tf5] • AY2526 T3 • True/False Q5 (1 pt)

A sole proprietor uses the business checking account to pay for his child's college tuition fees and records it as a direct business operating expense. This bookkeeping treatment represents a valid application of the Business Entity Concept.

- [A] True [B] False

Item 51 [past-t3-mc1] • AY2526 T3 • Multiple Choice Q1 (1 pt)

Which historical publication made the double-entry bookkeeping system widespread across the commercial world?

- [A] Luca Pacioli's Summa de Arithmetica
 [B] The Florentine Merchant Manual
 [C] Julius Caesar's Financial Reports
 [D] The Venetian Maritime Code

Item 52 [past-t3-mc2] • AY2526 T3 • Multiple Choice Q2 (1 pt)

A branch of accounting is dedicated to evaluating a company's internal policies and procedures to identify weaknesses, mismanagement, waste, or possible fraud:

- [A] Internal auditing
 [B] External auditing
 [C] Forensic accounting
 [D] Cost accounting

Item 53 [past-t3-mc3] • AY2526 T3 • Multiple Choice Q3 (1 pt)

A business that converts raw materials into entirely new finished goods before selling them:

- [A] Manufacturing
 [B] Trading
 [C] Service
 [D] Merchandising

Item 54 [reinf-u1-01] • Reinforcement 1.1: Non-Cash Contribution (No Debt Assumed) (1 pt)

An owner invests a commercial delivery van into a newly formed business. The owner purchased the van two years ago for ₱900,000. At the date of contribution, its appraised Fair Market Value (FMV) is ₱650,000. The owner still owes ₱200,000 on a personal bank loan used to buy the van, but the business entity formally refuses to assume this loan. At what amount should the delivery van be debited, and how much is credited to the owner's capital account?

- [A] Van debited at ₱650,000; Capital credited at ₱450,000
 [B] Van debited at ₱650,000; Capital credited at ₱650,000
 [C] Van debited at ₱900,000; Capital credited at ₱700,000
 [D] Van debited at ₱450,000; Capital credited at ₱450,000

Item 55 [reinf-u1-02] • Reinforcement 1.2: Valuation of Contributed Obsolete Tech (1 pt)

Sofia contributes custom graphic design computers to her sole proprietorship. She originally bought them for ₱280,000 and has receipts showing accumulated depreciation of ₱60,000 on her personal records (book value ₱220,000). However, due to rapid processor obsolescence, independent second-hand tech dealers evaluate the current fair market replacement value at only ₱140,000. Under PFRS, what value must be entered into the business journal?

- [A] ₱280,000 (Historical acquisition cost)
 [B] ₱220,000 (Personal carrying book value)
 [C] ₱140,000 (Fair Market Value at contribution date)
 [D] ₱210,000 (Average of book value and fair market value)

Item 56 [reinf-u1-03] • Reinforcement 1.3: Contributed Real Estate with Assumed Mortgage (1 pt)

Marcus establishes a logistics hub. He contributes a warehouse with a historical cost of ₱3,500,000 and a current verified FMV of ₱4,800,000. The warehouse has an unpaid bank mortgage of ₱1,300,000 which the business entity contractually agrees to assume and pay. What is the net credit to Marcus, Capital?

- [A] ₱4,800,000
- [B] ₱3,500,000
- [C] ₱3,500,000 - ₱1,300,000 = ₱2,200,000
- [D] ₱4,800,000 - ₱1,300,000 = ₱3,500,000

Item 57 [reinf-u1-04] • Reinforcement 1.4: Profitable in Accounting, Loss in Economics (1 pt)

Carlos quit his corporate executive job earning ₱1,200,000 annually and withdrew ₱1,000,000 from a high-yield treasury account paying 6% annual interest (₱60,000) to launch a consultancy firm. In Year 1, his consultancy generated ₱3,000,000 in revenues and paid ₱1,900,000 in explicit operating expenses. Which of the following statements accurately reflects his Year 1 results?

- [A] Accounting Net Profit is ₱1,100,000; Economic Profit is +₱1,100,000
- [B] Accounting Net Profit is ₱1,100,000; Economic Loss is -₱160,000
- [C] Accounting Net Loss is -₱160,000; Economic Profit is ₱1,100,000
- [D] Accounting Net Profit is ₱1,840,000; Economic Profit is +₱640,000

Item 58 [reinf-u1-05] • Reinforcement 1.5: Opportunity Cost of Owned Building (1 pt)

An entrepreneur uses a personal commercial building as a coffee shop instead of renting it out to a retail tenant for ₱40,000 per month. How should this ₱40,000 monthly rental be treated?

- [A] Recorded as an explicit Rent Expense on the monthly Statement of Profit or Loss
- [B] Recorded as an accrued liability owed to the owner
- [C] Ignored in Financial Accounting records, but included as an Implicit Opportunity Cost in Economic evaluation
- [D] Deducted directly from Owner's Capital as drawings

Item 59 [reinf-u1-06] • Reinforcement 1.6: Phase Distinction (Classifying vs Summarizing) (1 pt)

Transferring debits and credits from chronological journal entries into specific general ledger accounts (T-accounts) belongs to which phase of accounting?

- [A] Recording phase
- [B] Classifying phase
- [C] Summarizing phase
- [D] Interpreting phase

Item 60 [reinf-u1-07] • Reinforcement 1.7: Phase Distinction (Summarizing vs Interpreting) (1 pt)

A credit analyst at BDO calculates the Debt-to-Equity ratio and Working Capital of a borrower to determine whether to approve a ₱10,000,000 loan. Which phase of accounting does this activity exemplify?

- [A] Recording phase
- [B] Classifying phase
- [C] Summarizing phase
- [D] Interpreting phase

Item 61 [reinf-u1-08] • Reinforcement 1.8: Chronological Integrity of Accounting Steps (1 pt)

Which of the following demonstrates the strict, correct chronological flow of the accounting process?

- [A] Financial Statements -> General Journal -> General Ledger -> Source Document
- [B] Source Document -> General Journal -> General Ledger -> Financial Statements
- [C] General Ledger -> Source Document -> General Journal -> Ratio Analysis
- [D] Source Document -> General Ledger -> General Journal -> Financial Statements

Item 62 [reinf-u1-09] • Reinforcement 1.9: Luca Pacioli's Contribution (1 pt)

Why is Franciscan friar Fra Luca Pacioli celebrated as the 'Father of Modern Accounting' even though merchants had used double-entry bookkeeping before him?

- [A] He invented the monetary currency of the Venetian Republic.
- [B] He was the first to publish a comprehensive printed textbook describing the Venetian double-entry system (Summa, 1494).
- [C] He founded the first professional accounting firm in Rome.
- [D] He authored the first corporate bankruptcy statute in Europe.

Item 63 [reinf-u1-10] • Reinforcement 1.10: Pacioli's Cardinal Rule (1 pt)

Pacioli's immortal rule governing the debit and credit equilibrium states that:

- [A] All revenues must exceed expenses by at least ten percent.
- [B] No credit can be posted unless cash has entered the strongbox.
- [C] All entries must have equal debits and credits, because there cannot be a creditor without a debtor.
- [D] Assets must always equal total liabilities plus annual cash dividends.

Item 64 [reinf-u1-11] • Reinforcement 1.11: Partnership Contributions under Philippine Law (1 pt)

Under Article 1767 of the Civil Code of the Philippines, which of the following may a partner contribute to the common partnership fund?

- [A] Money only
- [B] Property and Corporate shares only
- [C] Money, Property, or Industry (Labor/Skill)
- [D] Commercial banking credit lines only

Item 65 [reinf-u1-12] • Reinforcement 1.12: Professional Practice Legal Structure (1 pt)

Four certified public accountants (CPAs) wish to pool their expertise and establish an auditing firm in Makati. Can they register as a Corporation under the Revised Corporation Code (RA 11232) to limit their malpractice liabilities?

- [A] Yes, RA 11232 allows any enterprise to incorporate without restriction.
- [B] Yes, provided they incorporate as a One Person Corporation (OPC).
- [C] No, Philippine law prohibits regulated professions from organizing as corporations because professionals cannot shield personal liability for malpractice.
- [D] No, unless they obtain an exemption from the Department of Trade and Industry (DTI).

Item 66 [reinf-u1-13] • Reinforcement 1.13: Bankruptcy Liability Distinction (1 pt)

Apex Bakery is a sole proprietorship owned by Linda. The bakery fails, accumulating ₱2,500,000 in bank debts against only ₱1,000,000 in business assets. In contrast, Vertex Inc. is a corporation owned by David; Vertex Inc. fails with ₱2,500,000 in debt and ₱1,000,000 in assets. How do Linda's and David's personal obligations differ?

- [A] Both Linda and David must surrender personal savings to pay the remaining ₱1,500,000.
- [B] Neither Linda nor David can be pursued for personal assets.
- [C] Linda is personally liable for the unpaid ₱1,500,000 from her personal house and savings; David risks only his investment in Vertex Inc.
- [D] David is personally liable because he is the primary shareholder; Linda is shielded by DTI registration.

Item 67 [reinf-u1-14] • Reinforcement 1.14: Primary Users Classification (1 pt)

According to Chapter 1, Section 1.5 of the IFRS Conceptual Framework for Financial Reporting, general-purpose financial reports are directed primarily toward:

- [A] Company employees and trade union negotiators
- [B] Existing and potential investors, lenders, and other creditors
- [C] The Bureau of Internal Revenue and statutory tax auditors
- [D] Internal executive management and the board of directors

Item 68 [reinf-u1-15] • Reinforcement 1.15: Why Management is an Internal User (1 pt)

Why does the IFRS Conceptual Framework NOT include company management and executives among the 'Primary Users' of general-purpose financial statements?

- [A] Management does not care about financial profitability.
- [B] Management has direct access to internal, non-public managerial accounting reports and does not rely on published general-purpose statements.
- [C] Management is legally prohibited from reading audited annual reports.
- [D] Management only reviews tax accounting filings submitted to the BIR.

Item 69 [reinf-u1-16] • Reinforcement 1.16: Branch Contrast (Financial vs Managerial) (1 pt)

Which branch of accounting is strictly mandated to comply with Philippine Financial Reporting Standards (PFRS) and produces standardized reports for external parties?

- [A] Managerial Accounting
- [B] Cost Accounting
- [C] Financial Accounting
- [D] Forensic Fraud Investigation

Item 70 [reinf-u1-17] • Reinforcement 1.17: Scope of Cost Accounting (1 pt)

Determining the direct materials, direct labor, and manufacturing overhead incurred to produce a single bottle of beverage is the specialized domain of:

- [A] Tax Accounting
- [B] Government Accounting
- [C] Cost Accounting
- [D] Financial Auditing

Item 71 [reinf-u1-18] • Reinforcement 1.18: Forensic Accounting Scope (1 pt)

Reconstructing hidden ledger entries, uncovering employee embezzlement, and preparing expert witness testimony for commercial litigation is performed by:

- [A] Forensic Accounting
- [B] Government Accounting
- [C] Tax Accounting
- [D] AIS System Maintenance

Item 72 [reinf-u1-19] • Reinforcement 1.19: The External Auditor's Mandate (1 pt)

An external auditor issues an 'Unqualified Audit Opinion' on a company's annual financial statements. What does this opinion formally certify to the public?

- [A] That the company is guaranteed to remain highly profitable and will not go bankrupt next year.
- [B] That the company's financial statements are 100% mathematically free from any minor error or fraud.
- [C] That the financial statements present fairly, in all material respects, the financial position and results of operations in accordance with PFRS.
- [D] That the external auditor personally verified every single cash transaction that occurred during the year.

Item 73 [reinf-u1-20] • Reinforcement 1.20: Agency Theory & Managerial Misalignment (1 pt)

Under Agency Theory, why do corporate shareholders insist on mandatory independent annual audits of financial statements prepared by hired managers?

- [A] Because managers have an information advantage and may manipulate reports to inflate performance bonuses at shareholder expense.
- [B] Because managers do not know how to compute debit and credit balances.
- [C] Because the Bureau of Internal Revenue does not accept statements signed by managers.
- [D] Because the Civil Code mandates that all managers be audited quarterly.

Item 74 [reinf-u1-21] • Reinforcement 1.21: Conflicting Reporting Incentives (1 pt)

Which of the following business entities is most likely to exhibit an 'Upward Earnings Bias' (a tendency to report higher income and assets)?

- [A] A private family business preparing its annual corporate income tax return for the BIR.
- [B] A manufacturing company currently negotiating annual wage increases with an aggressive labor union.
- [C] A tech startup applying for a ₱50,000,000 commercial expansion loan from a commercial bank consortium.
- [D] An entity attempting to buy back shares cheaply from retiring minority partners.

Item 75 [reinf-u1-22] • Reinforcement 1.22: The True Frontier of AI in Accounting (1 pt)

While Generative AI and automated software excel at classifying vendor invoices and reconciling bank feeds, which task CANNOT be delegated to AI and remains the exclusive domain of human CPAs?

- [A] Extracting vendor tax identification numbers from scanned receipts.
- [B] Matching purchase orders to shipping receiving reports.
- [C] Exercising professional ethical judgment, skepticism, and fiduciary responsibility in subjective estimates.
- [D] Calculating arithmetic column totals on a 10-column worksheet.

Item 76 [reinf-u1-23] • Reinforcement 1.23: One Person Corporation (OPC) Features (1 pt)

Under the Revised Corporation Code of the Philippines (RA 11232), how does a One Person Corporation (OPC) differ from a traditional Sole Proprietorship?

- [A] An OPC requires at least 5 incorporators, whereas a sole proprietorship requires 1.
- [B] An OPC is a distinct juridical entity registered with the SEC providing limited liability protection, whereas a sole proprietorship is registered with DTI and has unlimited personal liability.
- [C] An OPC is exempt from all corporate income taxes.
- [D] An OPC cannot hire employees or enter into contracts.

Item 77 [reinf-u1-24] • Reinforcement 1.24: Statutory Partnership Registration Threshold (1 pt)

Under Article 1772 of the Civil Code of the Philippines, every contract of partnership having a capital of what minimum amount must appear in a public instrument and be recorded with the Securities and Exchange Commission (SEC)?

- [A] ₱1,000 or more
- [B] ₱3,000 or more
- [C] ₱50,000 or more
- [D] ₱100,000 or more

Item 78 [reinf-u1-25] • Reinforcement 1.25: The Industrial Partner (1 pt)

In a partnership under Philippine law, an 'Industrial Partner' is one who contributes:

- [A] Industrial heavy machinery and real estate
- [B] Cash designated strictly for factory tooling
- [C] Purely personal labor, services, or professional expertise
- [D] Government-issued industrial manufacturing permits

Item 79 [reinf-u1-26] • Reinforcement 1.26: Industrial Partner Loss Liability (1 pt)

Unless agreed otherwise, how are partnership net operational losses allocated to an Industrial Partner under the Civil Code of the Philippines?

- [A] Equally with all capital partners
- [B] In proportion to the market value of the services rendered
- [C] The industrial partner shall not be liable for any share of partnership operating losses
- [D] Fifty percent of the losses are assigned to the industrial partner

Item 80 [reinf-u1-27] • Reinforcement 1.27: Cooperative Voting Structure (1 pt)

How does voting control in a Philippine Cooperative registered with the CDA differ fundamentally from voting control in a regular stock Corporation registered with the SEC?

- [A] In a cooperative, voting power is proportional to shares owned; in a corporation, it is one member, one vote.
- [B] In a cooperative, voting is governed by 'one member, one vote' regardless of capital contribution; in a corporation, voting is based on number of voting shares owned.
- [C] Cooperative members do not have voting rights; all decisions are made by the CDA.
- [D] Both cooperatives and corporations vote strictly based on the market price of their stock.

Item 81 [reinf-u1-28] • Reinforcement 1.28: Pacioli's Three Fundamental Accounting Books (1 pt)

In Chapter 6 of his 1494 accounting treatise, Pacioli described the Venetian merchant's workflow using three essential record books in sequence. What were they?

- [A] The Invoice, The Voucher, and The Balance Sheet
- [B] The Memoriale (Memorandum), The Giornale (Journal), and The Quaderno (Ledger)
- [C] The Debit Book, The Credit Book, and The Bank Reconciliation
- [D] The Sales Register, The Purchase Register, and The Tax Book

Item 82 [reinf-u1-29] • Reinforcement 1.29: Monetary Denomination in Pacioli's System (1 pt)

In Renaissance Venice, merchants traded in dozens of gold and silver coins from various city-states. What did Pacioli insist must be done before entering transactions into the Giornale (Journal)?

- [A] All foreign coins had to be melted into pure gold bars.
- [B] Transactions had to be converted into a single uniform monetary currency (Venetian Lire).
- [C] Transactions could only be recorded in physical quantities of grain or silk.
- [D] Foreign currencies were forbidden from being recorded until approved by the Pope.

Item 83 [reinf-u1-30] • Reinforcement 1.30: Pacioli's Ledger Closing Test (1 pt)

What did Pacioli call the closing summary sheet where all debit balances were compiled on the left and credit balances on the right to prove ledger equilibrium before opening a new book?

- [A] The Bilancio del Libro (Balance of the Book)
- [B] The SEC Form 17-A
- [C] The Post-Closing Trial Matrix
- [D] The Income Summary Voucher

Item 84 [reinf-u1-31] • Reinforcement 1.31: Lagging vs Leading Indicators (1 pt)

Why can a company report record-high Accounting Net Profits on its financial statements while simultaneously heading toward complete business collapse (the 'Kodak trap')?

- [A] Because accounting net profit only measures historical past performance (lagging indicator) and fails to capture non-financial indicators like customer defection and technological obsolescence (leading indicators).
- [B] Because net profit includes cash collections from bank loans.
- [C] Because the Statement of Profit or Loss is prepared under the cash basis.
- [D] Because GAAP prohibits reporting sales of new digital technology.

Item 85 [reinf-u1-32] • Reinforcement 1.32: Accounting Information Systems (1 pt)

In an automated Accounting Information System (AIS) like SAP or Oracle, what happens the instant a warehouse worker scans a barcode confirming receipt of purchased merchandise?

- [A] The system waits until the end of the year to record an adjusting entry.
- [B] The system automatically updates inventory quantities, generates an accounts payable voucher, and posts the debit to inventory and credit to accounts payable.
- [C] The system sends an email to the Bureau of Internal Revenue to approve the debit.
- [D] The system prints a general journal sheet for manual signing by the auditor.

Item 86 [reinf-u1-33] • Reinforcement 1.33: The Three Elements of AIS (1 pt)

Viewed as an Information Transformation Engine, what are the three basic operational stages of accounting?

- [A] Audit, Tax, and Compliance
- [B] Inputs (Economic Data/Documents) -> Processing (Recording, Classifying) -> Outputs (Financial Statements)
- [C] Debits, Credits, and Dividends
- [D] Cash in, Cash out, and Net Cash Flow

Item 87 [reinf-u1-34] • Reinforcement 1.34: Philippine Government Accounting Authority (1 pt)

In the Philippines, which constitutional body is tasked with promulgating accounting and auditing rules and regulations for all national government agencies and local government units?

- [A] Commission on Audit (COA)
- [B] Securities and Exchange Commission (SEC)
- [C] Department of Trade and Industry (DTI)
- [D] Bangko Sentral ng Pilipinas (BSP)

Item 88 [reinf-u1-35] • Reinforcement 1.35: Divergence of Tax and Financial Accounting (1 pt)

Why do reported Pre-Tax Accounting Net Income under PFRS and Taxable Net Income under the Philippine National Internal Revenue Code (NIRC / Tax Code) almost never match exactly?

- [A] Because PFRS follows accrual accounting while tax laws prescribe specific non-deductible expenses, tax-exempt income, and statutory limitations.
- [B] Because financial accountants deliberately commit errors to confuse tax examiners.
- [C] Because the BIR forbids entities from using the double-entry system.
- [D] Because pre-tax accounting income includes personal household expenses of the board of directors.

Item 89 [reinf-u1-36] • Reinforcement 1.36: Multiple Contributed Assets Valuation (1 pt)

Rafael establishes 'Rafael Consulting' and contributes: (1) Cash: ₱300,000; (2) Office Desks: original cost ₱120,000, current FMV ₱80,000; (3) A company car: FMV ₱600,000 with an unpaid installment loan of ₱150,000 assumed by the business. What is the recorded balance of Rafael, Capital?

- [A] ₱1,020,000
- [B] ₱830,000
- [C] ₱870,000
- [D] ₱980,000

Item 90 [reinf-u1-37] • Reinforcement 1.37: Service Contributions in Corporations (1 pt)

Under Section 61 of the Revised Corporation Code (RA 11232), can corporate shares of stock be issued in exchange for future services to be rendered by a prospective corporate officer?

- [A] Yes, future services are valued at market salary rates.
- [B] No, corporate shares cannot be issued in exchange for promissory notes or future services.
- [C] Yes, provided the Securities and Exchange Commission grants a waiver.
- [D] Yes, if approved by a majority of the Board of Directors.

Item 91 [reinf-u1-38] • Reinforcement 1.38: Conceptual Nature of Owner's Drawings (1 pt)

Which of the following statements regarding 'Owner's Drawings' is conceptually ACCURATE?

- [A] Drawings are operating expenses that reduce net income on the Statement of Profit or Loss.
- [B] Drawings are temporary contra-equity accounts representing personal distributions of capital, which bypass the income statement entirely.
- [C] Drawings are recorded as current assets because the owner will return the money later.
- [D] Drawings increase owner's equity because they reflect money extracted from operations.

Item 92 [reinf-u1-39] • Reinforcement 1.39: The Meaning of Debit and Credit (1 pt)

In accounting terminology, what do the words 'Debit' (Dr.) and 'Credit' (Cr.) strictly mean?

- [A] Debit means 'good / increase' and Credit means 'bad / decrease'.
- [B] Debit means 'left side' and Credit means 'right side' of an account.
- [C] Debit always increases an account and Credit always decreases it.
- [D] Debit is for cash incoming and Credit is for cash outgoing.

Item 93 [reinf-u1-40] • Reinforcement 1.40: Normal Balances Classification (1 pt)

Which of the following combinations consists entirely of accounts that possess a NORMAL DEBIT balance?

- [A] Cash, Accounts Payable, Service Revenue
- [B] Prepaid Rent, Owner's Drawings, Salaries Expense
- [C] Owner's Capital, Unearned Fees, Utilities Expense
- [D] Accounts Receivable, Accumulated Depreciation, Notes Payable

Item 94 [reinf-u1-41] • Reinforcement 1.41: Contra-Asset Mechanics (1 pt)

Accumulated Depreciation is categorized as a Contra-Asset account. What is its normal balance and where is it reported on the balance sheet?

- [A] Normal debit balance; reported under Current Assets
- [B] Normal credit balance; deducted directly from the related Property, Plant, and Equipment cost under Non-Current Assets
- [C] Normal credit balance; reported under Current Liabilities
- [D] Normal debit balance; reported under Operating Expenses on the income statement

Item 95 [reinf-u1-42] • Reinforcement 1.42: Normal Profit in Economics (1 pt)

If an entrepreneur's Economic Profit is exactly ZERO (0), does this mean the entrepreneur should shut down the venture?

- [A] Yes, because the business is making no money at all.
- [B] No, because zero economic profit means the business generates 'Normal Profit', covering all explicit operating costs and fully matching the entrepreneur's best alternative forgone salary and investment returns.
- [C] Yes, because zero economic profit triggers automatic corporate liquidation under SEC rules.
- [D] No, but only if the BIR grants a tax rebate.

Item 96 [reinf-u1-43] • Reinforcement 1.43: Stewardship Function (1 pt)

In addition to providing information useful for economic decision-making, financial reports show the results of management's 'stewardship'. What does stewardship evaluate?

- [A] How effectively and efficiently management protected and discharged their responsibilities over the entity's economic resources.
- [B] How many personal friends the manager hired during the year.
- [C] The market price of the competitor's shares.
- [D] The physical cleanliness of the company warehouse.

Item 97 [reinf-u1-44] • Reinforcement 1.44: Segregation of Duties (1 pt)

Which internal control policy best prevents employee embezzlement and fraud in the cash receipts cycle?

- [A] Allowing the head bookkeeper to also sign checks and reconcile monthly bank statements.
- [B] Segregating duties so that the person who receives customer cash is different from the person who records entries in the accounts receivable ledger.
- [C] Eliminating pre-numbered official receipts.
- [D] Requiring all employees to share a single computer password.

Item 98 [reinf-u1-45] • Reinforcement 1.45: Starting Point of the Accounting Cycle (1 pt)

What is the mandatory first step of the accounting cycle at the beginning of each transaction?

- [A] Preparing the Statement of Financial Position
- [B] Analyzing source documents (receipts, invoices, contracts) to verify business occurrence and monetary measurement
- [C] Drafting the notes to the financial statements
- [D] Closing temporary revenue accounts to Capital

Item 99 [reinf-u1-46] • Reinforcement 1.46: DTI Business Name Validity (1 pt)

In the Philippines, a sole proprietor registers a business trading name with the Department of Trade and Industry (DTI). For how long is this DTI Business Name Registration Certificate legally valid before renewal?

- [A] 1 year
- [B] 3 years
- [C] 5 years
- [D] 10 years

Item 100 [reinf-u1-47] • Reinforcement 1.47: Taxation of General Professional Partnerships (1 pt)

Under Philippine Tax Law (NIRC), how are General Professional Partnerships (GPPs) formed solely by CPAs or lawyers taxed at the partnership entity level?

- [A] GPPs pay a 25% regular corporate income tax on net taxable profit.
- [B] GPPs as an entity are exempt from corporate income tax; income tax is paid individually by the partners on their distributive shares.
- [C] GPPs pay a flat 50% franchise tax.
- [D] GPPs are taxed only on gross asset purchases.

Item 101 [reinf-u1-48] • Reinforcement 1.48: Pacioli's Academic Discipline (1 pt)

What was Fra Luca Pacioli's primary academic profession when he taught in Perugia, Rome, and Milan?

- [A] Maritime sea merchant
- [B] Professor of Mathematics and Franciscan Friar
- [C] Banker at the House of Medici
- [D] Chief Tax Collector for the Doge of Venice

Item 102 [reinf-u1-49] • Reinforcement 1.49: Pacioli & Leonardo Collaboration (1 pt)

In Pacioli's famous 1509 mathematics treatise 'De Divina Proportione' (On the Divine Proportion), who drew the exquisite geometric illustrations of 3D polyhedra?

- [A] Michelangelo
- [B] Leonardo da Vinci
- [C] Raphael
- [D] Galileo Galilei

Item 103 [reinf-u1-50] • Reinforcement 1.50: Economic Reality vs Legal Fiction (1 pt)

An owner of a sole proprietorship takes home a new office laptop worth ₱75,000 for her teenage son's gaming use. Legally, the owner owns both the business and the laptop. Economically and under accounting rules, how must this event be recorded?

- [A] Debit Office Equipment ₱75,000; Credit Cash ₱75,000
- [B] Debit Owner's Drawings ₱75,000; Credit Office Equipment ₱75,000
- [C] Debit Computer Expense ₱75,000; Credit Office Equipment ₱75,000
- [D] No entry because an owner cannot steal from herself

Part III: Master Answer Keys & Detailed Pedagogical Solutions

Official departmental answer keys and step-by-step mathematical computations for every question in this module:

Quick Answer Key Matrix

Item	ID	Type	Official Answer Key	Item	ID	Type	Official Answer Key
1	u1-q1	MATCHING	Matrix Solution	53	past-t3-mc3	MCQ	Option A
2	u1-q2	TF	False	54	reinf-u1-01	MCQ	Option B
3	u1-q3	TF	False	55	reinf-u1-02	MCQ	Option C
4	u1-q4	TF	True	56	reinf-u1-03	MCQ	Option D
5	u1-q5	TF	False	57	reinf-u1-04	MCQ	Option B
6	u1-q6	TF	True	58	reinf-u1-05	MCQ	Option C
7	u1-q7	TF	False	59	reinf-u1-06	MCQ	Option B
8	u1-q8	MCQ	Option A	60	reinf-u1-07	MCQ	Option D
9	u1-q9	MCQ	Option A	61	reinf-u1-08	MCQ	Option B
10	u1-q10	MCQ	Option A	62	reinf-u1-09	MCQ	Option B
11	u1-q11	MCQ	Option A	63	reinf-u1-10	MCQ	Option C
12	u1-q12	TF	True	64	reinf-u1-11	MCQ	Option C
13	u1-q13	TF	False	65	reinf-u1-12	MCQ	Option C
14	u1-q14	TF	True	66	reinf-u1-13	MCQ	Option C
15	u1-q15	MCQ	Option A	67	reinf-u1-14	MCQ	Option B
16	u1-q16	MCQ	Option A	68	reinf-u1-15	MCQ	Option B
17	u1-q17	MCQ	Option A	69	reinf-u1-16	MCQ	Option C
18	u1-q18	MCQ	Option A	70	reinf-u1-17	MCQ	Option C
19	u1-q19	MCQ	Option A	71	reinf-u1-18	MCQ	Option A
20	u1-q20	MCQ	Option A	72	reinf-u1-19	MCQ	Option C
21	u1-q21	MCQ	Option A	73	reinf-u1-20	MCQ	Option A
22	hw1-q1	MCQ	Option B	74	reinf-u1-21	MCQ	Option C
23	hw1-q2	MCQ	Option C	75	reinf-u1-22	MCQ	Option C
24	hw1-q3	MCQ	Option C	76	reinf-u1-23	MCQ	Option B
25	hw1-q4	MCQ	Option B	77	reinf-u1-24	MCQ	Option B
26	hw1-q5	MCQ	Option A	78	reinf-u1-25	MCQ	Option C
27	hw1-q6	MCQ	Option B	79	reinf-u1-26	MCQ	Option C
28	hw1-q7	MCQ	Option C	80	reinf-u1-27	MCQ	Option B
29	hw1-q8	MCQ	Option C	81	reinf-u1-28	MCQ	Option B
30	hw1-p1	CALC	■ 765,000	82	reinf-u1-29	MCQ	Option B
31	hw1-p2	CALC	■ 425,000	83	reinf-u1-30	MCQ	Option A
32	past-t1-tf1	TF	False	84	reinf-u1-31	MCQ	Option A
33	past-t1-tf2	TF	True	85	reinf-u1-32	MCQ	Option B
34	past-t1-tf3	TF	True	86	reinf-u1-33	MCQ	Option B
35	past-t1-tf6	TF	False	87	reinf-u1-34	MCQ	Option A
36	past-t1-tf10	TF	True	88	reinf-u1-35	MCQ	Option A
37	past-t1-mc1	MCQ	Option B	89	reinf-u1-36	MCQ	Option B
38	past-t1-mc2	MCQ	Option A	90	reinf-u1-37	MCQ	Option B
39	past-t1-mc3	MCQ	Option C	91	reinf-u1-38	MCQ	Option B

40	past-t2-tf1	TF	True	92	reinf-u1-39	MCQ	Option B
41	past-t2-tf2	TF	False	93	reinf-u1-40	MCQ	Option B
42	past-t2-tf3	TF	True	94	reinf-u1-41	MCQ	Option B
43	past-t2-tf10	TF	False	95	reinf-u1-42	MCQ	Option B
44	past-t2-mc1	MCQ	Option A	96	reinf-u1-43	MCQ	Option A
45	past-t2-mc2	MCQ	Option B	97	reinf-u1-44	MCQ	Option B
46	past-t2-mc3	MCQ	Option C	98	reinf-u1-45	MCQ	Option B
47	past-t3-tf1	TF	True	99	reinf-u1-46	MCQ	Option C
48	past-t3-tf2	TF	False	100	reinf-u1-47	MCQ	Option B
49	past-t3-tf3	TF	False	101	reinf-u1-48	MCQ	Option B
50	past-t3-tf5	TF	False	102	reinf-u1-49	MCQ	Option B
51	past-t3-mc1	MCQ	Option A	103	reinf-u1-50	MCQ	Option B
52	past-t3-mc2	MCQ	Option A				

Detailed Step-by-Step Pedagogical Solutions & Rationales

[u1-q1] Item 1: Question 1 • Unit 1 Canvas Quiz — Matching Matrix Solution

[u1-q2] Item 2: Question 2 • Unit 1 Canvas Quiz — Correct Answer: False

False. Bookkeeping is the clerical/mechanical recording phase of accounting transactions. Accounting is a much broader analytical discipline encompassing designing information systems, classifying, summarizing, analyzing, auditing, and interpreting financial reports.

[u1-q3] Item 3: Question 3 • Unit 1 Canvas Quiz — Correct Answer: False

False. The primary role of accounting is to provide relevant, faithfully represented financial information about economic resources and claims to assist stakeholders in making sound economic decisions. Tax determination is merely one specialized branch/function.

[u1-q4] Item 4: Question 4 • Unit 1 Canvas Quiz — Correct Answer: True

True. Accounting translates diverse physical commercial operations (sales, hiring, borrowing, manufacturing) into standardized financial terms understood by investors, lenders, regulators, and managers globally.

[u1-q5] Item 5: Question 5 • Unit 1 Canvas Quiz — Correct Answer: False

False. Managerial accounting is prepared strictly for internal users (management, executives) for operational planning, budgeting, cost control, and decision-making. External users rely on general-purpose Financial Accounting.

[u1-q6] Item 6: Question 6 • Unit 1 Canvas Quiz — Correct Answer: True

True. Financial accounting generates general-purpose financial statements for external stakeholders (investors, creditors) and general users, whereas managerial accounting produces confidential internal reports tailored for executive decision-making.

[u1-q7] Item 7: Question 7 • Unit 1 Canvas Quiz — Correct Answer: False

False. Helping external clients improve systems and performance is the function of *Management Advisory Services (MAS) / Consulting*. Accounting Information Systems (AIS) is the internal structure used to collect, store, manage, and process accounting data.

[u1-q8] Item 8: Question 8 • Unit 1 Canvas Quiz — Correct Answer: Option A

Accounting is an information system that identifies, measures, records, and communicates economic information about an organization to interested stakeholders.

[u1-q9] Item 9: Question 9 • Unit 1 Canvas Quiz — Correct Answer: Option A

Accountants do not personally guarantee corporate loans! The role of accounting is informational and analytical—providing data for management and stakeholders.

[u1-q10] Item 10: Question 10 • Unit 1 Canvas Quiz — Correct Answer: Option A

Tax accounting specializes in tax compliance (calculating liability and filing tax returns to the BIR) and tax planning (legally structuring transactions to minimize taxes).

[u1-q11] Item 11: Question 11 • Unit 1 Canvas Quiz — Correct Answer: Option A

Auditing (specifically external auditing) is the independent examination of financial statements by a CPA to express an opinion on whether they present fairly in accordance with PFRS/GAAP.

[u1-q12] Item 12: Question 12 • Unit 1 Canvas Quiz — Correct Answer: True

True. Total assets are claimed by creditors (Liabilities) and owners (Equity). Under IFRS Conceptual Framework Section 1.5, existing and potential investors, lenders, and other creditors are the Primary Users.

[u1-q13] Item 13: Question 13 • Unit 1 Canvas Quiz — Correct Answer: False

False. Accountants are the preparers and auditors of accounting information. The primary users are external resource providers: existing and potential investors, lenders, and creditors.

[u1-q14] Item 14: Question 14 • Unit 1 Canvas Quiz — Correct Answer: True

True. Government agencies (such as the BIR, SEC, and DOLE) are stakeholders who rely on accounting data for tax collection, statutory regulation, and economic statistics.

[u1-q15] Item 15: Question 15 • Unit 1 Canvas Quiz — Correct Answer: Option A

Financial analysts are external users who analyze public financial statements on behalf of investing clients. Managers, owners (in owner-managed firms), and employees are internal stakeholders.

[u1-q16] Item 16: Question 16 • Unit 1 Canvas Quiz — Correct Answer: Option A

The Philippine Securities and Exchange Commission (SEC) regulates corporations and publicly listed companies, mandating annual AFS filings (SEC Form 17-A) and quarterly reports (SEC Form 17-Q).

[u1-q17] Item 17: Question 17 • Unit 1 Canvas Quiz — Correct Answer: Option A

A corporation is an artificial being created by operation of law, possessing a legal personality separate and distinct from its shareholders (Revised Corporation Code RA 11232).

[u1-q18] Item 18: Question 18 • Unit 1 Canvas Quiz — Correct Answer: Option A

Sole proprietorships are numerically the most common form of business organization due to low startup costs and ease of formation.

[u1-q19] Item 19: Question 19 • Unit 1 Canvas Quiz — Correct Answer: Option A

Entrepreneurship is a process, economic activity, or academic mindset—it is not a recognized legal form of business organization under Philippine law.

[u1-q20] Item 20: Question 20 • Unit 1 Canvas Quiz — Correct Answer: Option A

Under Article 1799 of the Civil Code of the Philippines, any stipulation excluding one or more partners from any share in profits or losses is strictly VOID (pactum leoninum).

[u1-q21] Item 21: Question 21 • Unit 1 Canvas Quiz — Correct Answer: Option A

Manufacturing businesses can be micro, small, or large (e.g., a neighborhood panaderia, craft brewery, or furniture carpenter converts raw materials into finished goods and is a manufacturer).

[hw1-q1] Item 22: Homework #1 • Drill 1 — Correct Answer: Option B

The 1953 AICPA definition identifies the four phases in exact order: **Recording** (in journals), **Classifying** (into ledgers), **Summarizing** (in financial statements), and **Interpreting** (through ratio/trend analysis).

[hw1-q2] Item 23: Homework #1 • Drill 2 — Correct Answer: Option C

Primary users under Conceptual Framework 1.5 are existing and potential equity investors, commercial lenders, and other trade creditors who must rely on general-purpose reports.

[hw1-q3] Item 24: Homework #1 • Drill 3 — Correct Answer: Option C

Article 1767 states two or more persons bind themselves to contribute **money, property, or industry** (personal service/skill) to a common fund.

[hw1-q4] Item 25: Homework #1 • Drill 4 — Correct Answer: Option B

In the Philippines, members of regulated professions (CPAs, physicians, lawyers) are prohibited by professional practice acts from incorporating to evade individual professional malpractice liability.

[hw1-q5] Item 26: Homework #1 • Drill 5 — Correct Answer: Option A

Obscuring information (burying details, confusing legalese, inappropriate aggregation) compromises Relevance and Materiality under IFRS Conceptual Framework 2.11.

[hw1-q6] Item 27: Homework #1 • Drill 6 — Correct Answer: Option B

Verifiability helps assure users that information faithfully represents the economic phenomena it purports to represent through independent observer consensus.

[hw1-q7] Item 28: Homework #1 • Drill 7 — Correct Answer: Option C

Tracking and depreciating a ₱1,200 asset over 5 years creates administrative costs far exceeding any informational benefit to decision-makers (Materiality & Cost-Benefit).

[hw1-q8] Item 29: Homework #1 • Drill 8 — Correct Answer: Option C

Accrual accounting recognizes transactions and events when they occur (earned or incurred), irrespective of whether physical cash has been received or paid.

[hw1-p1] Item 30: Homework #1 • Problem 1 — Correct Numerical Answer: ₱ 765,000

$$1. \text{Assets}_{\text{end}} = ₱850,000 + ₱190,000 = ₱1,040,000.$$

$$2. \text{Liabilities}_{\text{end}} = ₱320,000 - ₱45,000 = ₱275,000.$$

$$3. \text{Equity}_{\text{end}} = ₱1,040,000 - ₱275,000 = ₱765,000.$$

$$*(\text{Verification: Equity}_{\text{beg}} = ₱530,000; \text{Change in Equity} = +₱190,000 - (-₱45,000) = +₱235,000 \text{ \⇒ } ₱530,000 + ₱235,000 = ₱765,000)*$$

[hw1-p2] Item 31: Homework #1 • Problem 2 — Correct Numerical Answer: ₱ 425,000

$$1. \text{Revenues} = ₱140,000 (\text{cash}) + ₱85,000 (\text{credit}) = ₱225,000.$$

$$2. \text{Expenses} = ₱62,000 (\text{paid}) + ₱18,000 (\text{accrued}) = ₱80,000.$$

$$3. \text{Net Income} = ₱225,000 - ₱80,000 = ₱145,000.$$

$$4. \text{Ending Capital} = ₱300,000 (\text{beg}) + ₱145,000 (\text{NI}) - ₱20,000 (\text{draw}) = ₱425,000.$$

[past-t1-tf1] Item 32: AY2526 T1 • True/False Q1 — Correct Answer: False

False. A merchandising business earns income by buying and reselling finished products without changing their physical form, whereas a manufacturing business produces goods from raw materials.

[past-t1-tf2] Item 33: AY2526 T1 • True/False Q2 — Correct Answer: True

True. Accounting is universally recognized as the language of business because it conveys operational and financial results to stakeholders for decision-making.

[past-t1-tf3] Item 34: AY2526 T1 • True/False Q3 — Correct Answer: True

True. Creditors and lenders evaluate liquidity and solvency metrics from financial statements to assess debt service capacity.

[past-t1-tf6] Item 35: AY2526 T1 • True/False Q6 — Correct Answer: False

False. A **Net Loss** occurs when expenses exceed revenues. **Net Profit** occurs when revenues exceed expenses.

[past-t1-tf10] Item 36: AY2526 T1 • True/False Q10 — Correct Answer: True

True. Franciscan friar and mathematician Fra Luca Pacioli first published the formal treatise on double-entry bookkeeping in Venice in 1494 (*Summa de Arithmetica*).

[past-t1-mc1] Item 37: AY2526 T1 • Multiple Choice Q1 — Correct Answer: Option B

Option B is correct. Accounting is a comprehensive service activity involving identifying, measuring, recording, classifying, summarizing, and communicating economic information.

[past-t1-mc2] Item 38: AY2526 T1 • Multiple Choice Q2 — Correct Answer: Option A

Option A is correct. Primary users (existing and potential investors, lenders, other creditors) need financial information to assess future net cash inflows and evaluate management stewardship.

[past-t1-mc3] Item 39: AY2526 T1 • Multiple Choice Q3 — Correct Answer: Option C

Option C is correct. A corporation possesses the right of succession and perpetual existence (RA 11232 Sec. 11), whereas a general partnership is dissolved by the withdrawal, death, or insolvency of any partner.

[past-t2-tf1] Item 40: AY2526 T2 • True/False Q1 — Correct Answer: True

True. Luca Pacioli published the documentation of the Venetian double-entry accounting method in 1494.

[past-t2-tf2] Item 41: AY2526 T2 • True/False Q2 — Correct Answer: False

False. **Management Accounting** generates reports for internal users; **Financial Accounting** generates general-purpose reports for external users.

[past-t2-tf3] Item 42: AY2526 T2 • True/False Q3 — Correct Answer: True

True. The three major traditional operational classifications of business enterprises are service, merchandising, and manufacturing.

[past-t2-tf10] Item 43: AY2526 T2 • True/False Q10 — Correct Answer: False

False. **Revenues** are increases in equity from earning activities. Owner investments are direct capital contributions from the proprietors.

[past-t2-mc1] Item 44: AY2526 T2 • Multiple Choice Q1 — Correct Answer: Option A

Option A is correct. This matches the classic AICPA definition of accounting as an art of recording, classifying, summarizing, and interpreting financial events.

[past-t2-mc2] Item 45: AY2526 T2 • Multiple Choice Q2 — Correct Answer: Option B

Option B is correct. Creditors assess liquidity, working capital, and solvency to determine loan security and repayment certainty.

[past-t2-mc3] Item 46: AY2526 T2 • Multiple Choice Q3 — Correct Answer: Option C

Option C is correct. Corporations can mobilize massive capital through public offerings and divisibility of shares with limited liability.

[past-t3-ff1] Item 47: AY2526 T3 • True/False Q1 — Correct Answer: True

True. This is the official 1953 AICPA definition of accounting.

[past-t3-ff2] Item 48: AY2526 T3 • True/False Q2 — Correct Answer: False

False. **Existing** investors check returns on existing investments; **potential** investors evaluate future returns and assess investment risk before allocating capital.

[past-t3-ff3] Item 49: AY2526 T3 • True/False Q3 — Correct Answer: False

False. Under the **Business Entity Concept**, *all* forms of business organization (sole proprietorships, partnerships, and corporations) are treated as distinct accounting entities separate from their owners.

[past-t3-ff5] Item 50: AY2526 T3 • True/False Q5 — Correct Answer: False

False. Recording personal tuition as a business operating expense violates the Business Entity Concept. Personal expenditures must be recorded as **Owner's Drawings**.

[past-t3-mc1] Item 51: AY2526 T3 • Multiple Choice Q1 — Correct Answer: Option A

Option A is correct. Fra Luca Pacioli's 1494 textbook *Summa de Arithmetica, Geometria, Proportioni et Proportionalita* popularized double-entry bookkeeping.

[past-t3-mc2] Item 52: AY2526 T3 • Multiple Choice Q2 — Correct Answer: Option A

Option A is correct. Internal auditing evaluates internal controls, operational efficiency, and policy compliance on behalf of management.

[past-t3-mc3] Item 53: AY2526 T3 • Multiple Choice Q3 — Correct Answer: Option A

Option A is correct. Manufacturing enterprises purchase raw materials and utilize labor and factory overhead to convert them into finished merchandise.

[reinf-u1-01] Item 54: Reinforcement 1.1: Non-Cash Contribution (No Debt Assumed) — Correct Answer: Option B

Correct Answer: B.

When an owner contributes an asset, the business records it at its **Fair Market Value (FMV) at the date of contribution** (■650,000). Because the business *did not assume* the ■200,000 bank loan, the loan remains the owner's personal obligation. Therefore, the business has no liability, and the owner's capital account is credited for the full FMV of ■650,000. (If the business had assumed the debt, capital would have been ■650,000 - ■200,000 = ■450,000).

[reinf-u1-02] Item 55: Reinforcement 1.2: Valuation of Contributed Obsolete Tech — Correct Answer: Option C

Correct Answer: C.

The enterprise is a separate entity from Sofia. To the enterprise, its 'acquisition cost' is established by the asset's **Fair Market Value on the date of investment** (■140,000). Prior personal purchase costs and personal depreciation schedules are entirely irrelevant to the new entity.

[reinf-u1-03] Item 56: Reinforcement 1.3: Contributed Real Estate with Assumed Mortgage — Correct Answer: Option D

Correct Answer: D.

When an entity assumes debt on contributed property, the journal entry debits Warehouse for its FMV of ■4,800,000, credits Mortgage Payable for ■1,300,000, and credits Marcus, Capital for the residual net equity contribution: ■4,800,000 - ■1,300,000 = ■3,500,000.

[reinf-u1-04] Item 57: Reinforcement 1.4: Profitable in Accounting, Loss in Economics — Correct Answer: Option B

Correct Answer: B.

Accounting Net Profit = Explicit Revenues (■3,000,000) - Explicit Costs (■1,900,000) = ■1,100,000.

Total Implicit Opportunity Costs = Forgone salary (■1,200,000) + Forgone bond interest (■60,000) = ■1,260,000.

Economic Profit = Accounting Net Profit (■1,100,000) - Opportunity Costs (■1,260,000) = -■160,000 (**Economic Loss**). Although Carlos pays income tax on ■1.1M accounting profit, he was economically worse off by ■160,000 compared to his previous position.

[reinf-u1-05] Item 58: Reinforcement 1.5: Opportunity Cost of Owned Building — Correct Answer: Option C**Correct Answer: C.**

In financial accounting, no cash or legal transaction occurred with a third party, so no rent expense can be recorded. However, in economics and managerial finance, the ₱480,000 annual forgone rent is an **implicit opportunity cost** essential for evaluating whether the coffee shop creates genuine economic value.

[reinf-u1-06] Item 59: Reinforcement 1.6: Phase Distinction (Classifying vs Summarizing) — Correct Answer: Option B**Correct Answer: B.**

Classifying is the systematic grouping of all transactions affecting a specific item into its dedicated account in the General Ledger. Recording is journalizing, Summarizing is preparing the trial balance and financial statements, and Interpreting is analyzing ratios.

[reinf-u1-07] Item 60: Reinforcement 1.7: Phase Distinction (Summarizing vs Interpreting) — Correct Answer: Option D**Correct Answer: D.**

Interpreting involves the analytical review, financial ratio calculation, and meaningful explanation of summarized statements to guide lending, investment, or management decisions.

[reinf-u1-08] Item 61: Reinforcement 1.8: Chronological Integrity of Accounting Steps — Correct Answer: Option B**Correct Answer: B.**

The flow is: (1) Source document (invoice/receipt) -> (2) General Journal (Recording) -> (3) General Ledger (Classifying) -> (4) Trial Balance & Financial Statements (Summarizing) -> (5) Ratio Analysis (Interpreting).

[reinf-u1-09] Item 62: Reinforcement 1.9: Luca Pacioli's Contribution — Correct Answer: Option B**Correct Answer: B.**

Pacioli did not invent double-entry; Venetian merchants had practiced it. His enduring achievement was publishing the first comprehensive printed mathematical treatise, *Summa de Arithmetica, Geometria, Proportioni et Proportionalita* (Venice, November 1494), containing the landmark section *Particularis de Computis et Scripturis*.

[reinf-u1-10] Item 63: Reinforcement 1.10: Pacioli's Cardinal Rule — Correct Answer: Option C**Correct Answer: C.**

Pacioli stated the fundamental axiom of equilibrium: every debit must have an equal credit, because a transaction is a dual-aspect exchange where there cannot be a debtor without an equivalent creditor.

[reinf-u1-11] Item 64: Reinforcement 1.11: Partnership Contributions under Philippine Law — Correct Answer: Option C**Correct Answer: C.**

Article 1767 explicitly states: 'By the contract of partnership two or more persons bind themselves to contribute **money, property, or industry** to a common fund, with the intention of dividing the profits among themselves.'

[reinf-u1-12] Item 65: Reinforcement 1.12: Professional Practice Legal Structure — Correct Answer: Option C**Correct Answer: C.**

Under Philippine regulatory law and professional practice acts (Accountancy Act, Legal Profession, Medical Practice), licensed professionals are strictly prohibited from incorporating to practice their profession. They must organize as a Sole Proprietorship or General Professional Partnership (GPP), ensuring partners retain personal liability for professional acts.

[reinf-u1-13] Item 66: Reinforcement 1.13: Bankruptcy Liability Distinction — Correct Answer: Option C**Correct Answer: C.**

A sole proprietorship has no separate legal entity status under law; Linda has **unlimited personal liability**, so creditors can seize her personal bank accounts and real estate. Vertex Inc. has a separate juridical personality, giving David **limited liability** (he risks only his capital investment in the shares).

[reinf-u1-14] Item 67: Reinforcement 1.14: Primary Users Classification — Correct Answer: Option B**Correct Answer: B.**

The Conceptual Framework specifies that primary users are **existing and potential investors, lenders, and other creditors** who cannot demand reports tailored directly to their needs.

[reinf-u1-15] Item 68: Reinforcement 1.15: Why Management is an Internal User — Correct Answer: Option B**Correct Answer: B.**

Management is not a primary user because management already controls the business and has direct access to internal management information systems, real-time ledgers, and operational budgets whenever needed.

[reinf-u1-16] Item 69: Reinforcement 1.16: Branch Contrast (Financial vs Managerial) — Correct Answer: Option C**Correct Answer: C.**

Financial Accounting is governed by mandatory external standards (PFRS/IFRS) to ensure external consistency, while Managerial Accounting produces customized internal reports free from standard compliance.

[reinf-u1-17] Item 70: Reinforcement 1.17: Scope of Cost Accounting — Correct Answer: Option C**Correct Answer: C.**

Cost Accounting focuses on measuring, recording, and allocating manufacturing product costs to determine inventory valuation and cost of goods sold.

[reinf-u1-18] Item 71: Reinforcement 1.18: Forensic Accounting Scope — Correct Answer: Option A**Correct Answer: A.**

Forensic Accounting integrates accounting, auditing, and investigative legal skills to detect fraud and provide evidence in legal proceedings.

[reinf-u1-19] Item 72: Reinforcement 1.19: The External Auditor's Mandate — Correct Answer: Option C**Correct Answer: C.**

An independent auditor's report provides *reasonable assurance* (not absolute guarantee) that financial statements are presented fairly in all **material** respects under PFRS. It is not an absolute warranty against insolvency or petty fraud.

[reinf-u1-20] Item 73: Reinforcement 1.20: Agency Theory & Managerial Misalignment — Correct Answer: Option A**Correct Answer: A.**

In the Principal-Agent framework, shareholders (principals) delegate control to managers (agents). Because agents possess private information and may face conflicting incentives (bonuses tied to reported earnings), independent audits mitigate information asymmetry and moral hazard.

[reinf-u1-21] Item 74: Reinforcement 1.21: Conflicting Reporting Incentives — Correct Answer: Option C**Correct Answer: C.**

Entities applying for major bank loans or seeking public investors have a strong **upward bias** to present stellar earnings and asset strength. Conversely, entities facing tax audits, labor union wage demands, or buying out partners have incentives to minimize reported net profit.

[reinf-u1-22] Item 75: Reinforcement 1.22: The True Frontier of AI in Accounting — Correct Answer: Option C**Correct Answer: C.**

AI automates procedural, high-volume data transformation. However, evaluating management bias, probing fraud under suspicious circumstances, and upholding statutory fiduciary ethics require human professional judgment and legal accountability.

[reinf-u1-23] Item 76: Reinforcement 1.23: One Person Corporation (OPC) Features — Correct Answer: Option B**Correct Answer: B.**

An OPC has a single natural person stockholder, but unlike a DTI sole proprietorship, an OPC is a registered corporation with the SEC that grants limited liability to the owner (subject to proving separate corporate property).

[reinf-u1-24] Item 77: Reinforcement 1.24: Statutory Partnership Registration Threshold — Correct Answer: Option B**Correct Answer: B.**

Article 1772 of the Civil Code mandates that partnerships with a contributed capital of **₱3,000 or more** must appear in a public instrument and be registered with the SEC.

[reinf-u1-25] Item 78: Reinforcement 1.25: The Industrial Partner — Correct Answer: Option C**Correct Answer: C.**

An industrial partner contributes *industry* (labor, skills, technical expertise, or professional services) rather than money or tangible property.

[reinf-u1-26] Item 79: Reinforcement 1.26: Industrial Partner Loss Liability — Correct Answer: Option C**Correct Answer: C.**

Under Article 1797 of the Civil Code, an industrial partner is **exempt from sharing in operational losses**, because an industrial partner has already lost their time and labor which cannot be recovered.

[reinf-u1-27] Item 80: Reinforcement 1.27: Cooperative Voting Structure — Correct Answer: Option B**Correct Answer: B.**

Cooperatives adhere to the democratic principle of **one member, one vote**, ensuring members have equal control irrespective of capital invested. In stock corporations, control is tied to the proportion of voting shares owned.

[reinf-u1-28] Item 81: Reinforcement 1.28: Pacioli's Three Fundamental Accounting Books — Correct Answer: Option B**Correct Answer: B.**

Pacioli detailed the three-book sequence: (1) *Memoriale* (scrapbook for recording raw details in any currency), (2) *Giornale* (formal journal in uniform currency with debits/credits), and (3) *Quaderno* (the ledger organized by accounts with cross-referenced folio numbers).

[reinf-u1-29] Item 82: Reinforcement 1.29: Monetary Denomination in Pacioli's System — Correct Answer: Option B**Correct Answer: B.**

Pacioli recognized the **Monetary Unit Assumption**: diverse transactions in multiple currencies had to be converted and entered in a single stable unit of account (the Venetian lira, soldi, and piccoli) to allow mathematical balancing.

[reinf-u1-30] Item 83: Reinforcement 1.30: Pacioli's Ledger Closing Test — Correct Answer: Option A**Correct Answer: A.**

Pacioli referred to this equilibrium verification as the *Bilancio del Libro* (the balance of the ledger book), which is the direct ancestor of our modern **Trial Balance**.

[reinf-u1-31] Item 84: Reinforcement 1.31: Lagging vs Leading Indicators — Correct Answer: Option A**Correct Answer: A.**

Financial accounting statements are **lagging indicators** that reflect past completed transactions. They do not capture vital **non-financial leading indicators**, such as customer satisfaction, employee turnover, or technological disruption, until financial damage has already occurred.

[reinf-u1-32] Item 85: Reinforcement 1.32: Accounting Information Systems — Correct Answer: Option B**Correct Answer: B.**

Enterprise Resource Planning (ERP) and AIS platforms automate real-time multi-module posting: receiving inventory triggers automatic perpetual inventory debits and accounts payable credits simultaneously.

[reinf-u1-33] Item 86: Reinforcement 1.33: The Three Elements of AIS — Correct Answer: Option B**Correct Answer: B.**

Accounting functions as an information system: **Inputs** (raw transaction data from source documents), **Processes** (journalizing, ledger classification, adjusting), and **Outputs** (structured financial reports and decision dashboards).

[reinf-u1-34] Item 87: Reinforcement 1.34: Philippine Government Accounting Authority — Correct Answer: Option A**Correct Answer: A.**

The 1987 Philippine Constitution vests the **Commission on Audit (COA)** with exclusive authority to prescribe accounting rules and regulations for all public funds and government agencies.

[reinf-u1-35] Item 88: Reinforcement 1.35: Divergence of Tax and Financial Accounting — Correct Answer: Option A**Correct Answer: A.**

Financial accounting focuses on fair representation under accrual principles, whereas tax laws serve public policy and revenue generation, disallowing certain accruals (e.g. general loss provisions) and exempting specific income items.

[reinf-u1-36] Item 89: Reinforcement 1.36: Multiple Contributed Assets Valuation — Correct Answer: Option B**Correct Answer: B.**

Cash: ₱300,000.

Desks (FMV): ₱80,000 (ignore historical ₱120k).

Car (Net Equity): ₱600,000 FMV - ₱150,000 debt assumed = ₱450,000.

Total Rafael, Capital = ₱300,000 + ₱80,000 + ₱450,000 = ₱830,000.

[reinf-u1-37] Item 90: Reinforcement 1.37: Service Contributions in Corporations — Correct Answer: Option B**Correct Answer: B.**

Section 61 of RA 11232 strictly forbids the issuance of capital stock in exchange for **promissory notes or future service**. Shares may only be issued for actual cash paid, property actually received, or services *already actually performed*.

[reinf-u1-38] Item 91: Reinforcement 1.38: Conceptual Nature of Owner's Drawings — Correct Answer: Option B**Correct Answer: B.**

Drawings are not business expenses incurred to generate revenue; they are personal withdrawals of capital. They are a **temporary contra-equity account** deducted on the Statement of Changes in Owner's Equity.

[reinf-u1-39] Item 92: Reinforcement 1.39: The Meaning of Debit and Credit — Correct Answer: Option B**Correct Answer: B.**

In accounting, 'debit' (from Latin *debere*) strictly denotes the **left side** of an account, and 'credit' (from Latin *credere*) denotes the **right side**. Whether a debit or credit increases or decreases a balance depends entirely on the account type (Assets/Expenses vs Liabilities/Equity/Revenues).

[reinf-u1-40] Item 93: Reinforcement 1.40: Normal Balances Classification — Correct Answer: Option B**Correct Answer: B.**

Under the expanded equation, Assets, Drawings, and Expenses (ADE) possess **normal debit balances**. Prepaid Rent (Asset), Owner's Drawings (Contra-Equity), and Salaries Expense (Expense) are all debit-normal.

[reinf-u1-41] Item 94: Reinforcement 1.41: Contra-Asset Mechanics — Correct Answer: Option B**Correct Answer: B.**

A contra-asset account offsets an asset and has a **normal credit balance**. It is presented on the Statement of Financial Position directly beneath its related PPE item as a deduction to arrive at Net Book Value.

[reinf-u1-42] Item 95: Reinforcement 1.42: Normal Profit in Economics — Correct Answer: Option B**Correct Answer: B.**

In economics, an economic profit of zero means the enterprise earns a **Normal Profit**: it fully covers all operating expenses and exactly matches what the owner's capital and labor could earn in their next best alternative employment.

[reinf-u1-43] Item 96: Reinforcement 1.43: Stewardship Function — Correct Answer: Option A**Correct Answer: A.**

Stewardship refers to management's fiduciary duty to safeguard, maintain, and efficiently utilize the entity's resources entrusted to them by shareholders and creditors.

[reinf-u1-44] Item 97: Reinforcement 1.44: Segregation of Duties — Correct Answer: Option B**Correct Answer: B.**

Segregation of Duties is the bedrock of internal control: separating asset custody (handling cash) from recordkeeping (posting to ledger) ensures no single individual can steal an asset and conceal it with false accounting entries.

[reinf-u1-45] Item 98: Reinforcement 1.45: Starting Point of the Accounting Cycle — Correct Answer: Option B**Correct Answer: B.**

The accounting cycle always begins with **analyzing source documents** to ensure an authentic economic transaction occurred before journalizing.

[reinf-u1-46] Item 99: Reinforcement 1.46: DTI Business Name Validity — Correct Answer: Option C**Correct Answer: C.**

Under Philippine DTI business name registration rules, a DTI Business Name Certificate is valid for a period of **5 years** from the date of registration.

[reinf-u1-47] Item 100: Reinforcement 1.47: Taxation of General Professional Partnerships — Correct Answer: Option B**Correct Answer: B.**

Under Section 26 of the Tax Code (NIRC), General Professional Partnerships are treated as pass-through entities and are **exempt from corporate income tax**. The partners report and pay individual personal income tax on their respective distributive shares.

[reinf-u1-48] Item 101: Reinforcement 1.48: Pacioli's Academic Discipline — Correct Answer: Option B**Correct Answer: B.**

Fra Luca Pacioli was a Franciscan friar and an acclaimed **Professor of Mathematics** who collaborated with and taught perspective geometry to Leonardo da Vinci.

[reinf-u1-49] Item 102: Reinforcement 1.49: Pacioli & Leonardo Collaboration — Correct Answer: Option B**Correct Answer: B.**

Leonardo da Vinci was Pacioli's close friend and student in Milan; Leonardo illustrated the magnificent sixty geometric plates in Pacioli's manuscript *De Divina Proportione*.

[reinf-u1-50] Item 103: Reinforcement 1.50: Economic Reality vs Legal Fiction — Correct Answer: Option B**Correct Answer: B.**

Under the **Separate Entity Assumption**, the business is distinct from the owner. Diverting business property to personal household use must be recorded as an asset reduction and a debit to **Owner's Drawings**.